balanced mutual fund that would have given a return of at least 9–10 per cent a year, post cost.

But that's the real-estate story. ***It is a horrible, clunky, chunky investment that has lots of costs, which people forget to add to the profit maths***. It is illiquid – you can't sell in a hurry. You can't sell one room to raise some funds – you need to sell the whole darn property. It needs periodic investments for maintenance. For society flats, there is the added cost of high charges. But we remain wedded to real estate.

Why do we like it so much? There are three reasons why people can't think beyond real estate. Habit, black money and fear. We've grown up thinking of real estate as a long-term investment.

We've grown up on nani-dadi stories about how their haveli or land in the village that cost just a few thousand rupees is now valued at crores. '*Agar usko tab becha na hota to aaj ye din na ...*' is a common conversation thread in many families. The reason people think real estate is a great investment is that they look at the return in absolute terms, from point to point. The flat that sold for Rs 1 crore was bought for just ten lakhs, is something we've heard so often.

Lost in this conversation is the fact that the distance between the buying and selling price is twenty-seven years, costs of maintenance, property taxes, brokerage and insurance. The effective return rate, before any of these costs, is 12 per cent a year.

Doesn't look that great any more, does it? Moneywise people will break this habit of thinking that real estate is sure-shot money and that you can't go wrong with it. Lots of horrible things can happen – the title can be disputed, the land or flat can get grabbed, the tenant may refuse to get out ... When I think of the risk associated with real estate, I seriously wonder what people see in it.

And that brings me to my second reason for our love for real estate – black money. Gold and real estate have been the sumps of black money in India. Most of the second sales in real estate take place in cash, and dealing in black is like a treadmill – once you get on it, you have to keep running with the money. The habit of black money is so strong that we cannot even imagine a situation where a cash component is the exception and a full cheque payment is the norm.